

chapter, you want to try and keep your housing costs around 30% of your budget.



Figure 11.2. Pros and cons of buying versus renting a home

In short, not everyone should buy a house immediately, and renting is not just “throwing money away.” For example, if you are renting your home at an affordable price, it may enable you to save a lot of money, which ultimately could help you afford a larger down payment in the future. When you can afford a larger down payment, your monthly mortgage payments will be lower; you will likely receive a lower interest rate, and you will avoid paying extra costs like private mortgage insurance (which is explained